Ganfeng Lithium (1772 HK/002460 CH)

Buy: Momentum cools but fundamentals improve

Equities
Metals & Mining
China

- Lithium's rally pauses but ESS strength and inventory drawdowns still point to improving fundamentals
- Higher chemical output with rising upstream self-supply and increasing contribution from battery support earnings growth
- Maintain Buy and raise TP to HKD54.00/RMB65.00 from HKD33.40/RMB41.90 amid improved earnings visibility

Lithium demand recovery is gaining traction: After a strong rally for two months, lithium prices in China fell sharply on Friday as the main future exchange raised transaction fees and limited daily positions to curb speculative trading, and there were also reports that CATL could restart production at its flagship lithium mine (c7% of global supply) as early as next month. The recent rally had been driven by stronger ESS demand and sustained destocking across lithium chemicals and cathode materials in China. Unlike the brief August rebound driven by supply disruptions, the latest upswing reflects fundamental consumption improvement as ESS installations expand and project economics become more market driven. EV demand also remains resilient despite upcoming 2026 policy shifts. While demand forecasts have been raised, we still expect supply to remain in surplus in 2026 under our base case. However, the buffer is narrowing and could tighten quickly if global EV and ESS battery production exceeds expectations or if moderate supply interruptions occur (*Lithium: A comeback or a false start?*, 25 November 2025).

Investment view: We expect the share price to be under pressure in the near term, but we see positive developments supporting the stock in the medium term. Strong lithium chemical sales in 4Q25 are backed by the ramp-up of Sichuan's 50kt project. Upstream progress at Goulamina and Cauchari Olaroz, together with Mariana's early stage output will lift self-owned LCE supply above 50% and drive a structural decline in average unit costs. Expanding downstream battery and ESS shipments are improving profitability as scale increases. In addition, Ganfeng is advancing its solid-state roadmap, strengthening its integrated model from resources to lithium chemicals, batteries, ESS applications and solid-state materials, position the company well for any further tightening in market conditions. With recovering lithium prices and a lower cost base, Ganfeng is poised to return to profitability even if prices stabilise next year. Further price gains would add meaningful upside leverage. Overall, we like Ganfeng due to volume growth, cost improvement and higher lithium price strengthen the company's medium-term outlook. We lift the H/A target prices to HKD54.0/RMB65.0 (from HKD33.40/RMB41.90), implying c12.5%/10.8% upside, and retain our Buy ratings given potential upside risks to lithium prices amid strong EV and ESS demand. Within our lithium coverage, we therefore prefer Ganfeng over Tianqi (9696 HK/2466 CH, HKD45.76/RMB51.59, Hold/Hold).

H: MAINTAIN BUY

TARGET PRICE (HKD)	PREVIOUS TARGET (HKD)
54.00	33.40
SHARE PRICE (HKD)	**UPSIDE/DOWNSIDE**
48.02	+12.5%

(as of 24 Nov 2025)

A: MAINTAIN BUY

TARGET PRICE (CNY)	PREVIOUS TARGET (CNY)
65.00	41.90
SHARE PRICE (CNY)	**UPSIDE/DOWNSIDE**
58.65	+10.8%

(as of 24 Nov 2025)

MARKET DATA

BBG / RIC	1772 HK / 1772.HK
Market cap (HKDm / USDm)	134,764 / 17,316
Free float (H / A)	88% / 65%
3m ADTV (USDm) (H / A)	153 / 826

FINANCIALS AND RATIOS (CNY)

Year to	12/2024a	12/2025e	12/2026e	12/2027e
HSBC EPS	-1.03	0.11	1.00	1.30
HSBC EPS (prev)	-1.03	-0.10	0.35	1.29
Change (%)	0.0	nm	184.1	1.4
Consensus EPS	-0.11	0.17	0.94	1.49

Source: LSEG IBES, HSBC estimates

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Financials & valuation

Financial statements

Year to	12/2024a	12/2025e	12/2026e	12/2027e
Profit & loss summary (CNYm)				
Revenue	18,726	22,377	26,314	29,510
EBITDA	1,217	1,688	4,161	6,201
Depreciation & amortisation	-1,134	-1,718	-2,114	-2,492
Operating profit/EBIT	83	-30	2,047	3,709
Net interest	-1,091	-1,068	-1,278	-1,488
PBT	-2,296	-245	2,025	3,478
HSBC PBT	-2,296	-245	2,025	3,478
Taxation	-330	25	-121	-209
Net profit	-2,069	221	1,998	2,616
HSBC net profit	-2,069	221	1,998	2,616
Cash flow summary (CNYm)				
Cash flow from operations	5,161	1,710	4,428	6,544
Capex	-8,548	-10,000	-10,000	-10,000
Cash flow from investment	-12,242	-10,000	-10,000	-10,000
Dividends	-1,610	-303	-200	-200
Change in net debt	9,700	9,661	6,851	5,144
FCF equity	-3,387	-8,290	-5,572	-3,456
Balance sheet summary (CNYm)				
Intangible fixed assets	20,398	20,398	20,398	20,398
Tangible fixed assets	37,489	45,772	53,657	61,165
Current assets	22,003	21,854	23,781	27,093
Cash & others	5,641	2,980	3,129	4,985
Total assets	100,832	108,965	118,778	129,598
Operating liabilities	19,370	21,027	21,936	22,687
Gross debt	31,237	38,237	45,237	52,237
Net debt	25,596	35,257	42,108	47,252
Shareholders' funds	41,782	41,701	43,699	46,115
Invested capital	54,878	64,016	72,770	80,984

Ratio, growth and per share analysis

Year to	12/2024a	12/2025e	12/2026e	12/2027e
Y-o-y % change				
Revenue	-42.9	19.5	17.6	12.1
EBITDA	-58.6	38.7	146.5	49.0
Operating profit	-96.1	-135.8		81.2
PBT	-143.4			71.8
HSBC EPS	-141.7		803.6	30.9
Ratios (%)				
Revenue/IC (x)	0.4	0.4	0.4	0.4
ROIC	0.2	-0.0	2.8	4.5
ROE	-4.7	0.5	4.7	5.8
ROA	-1.4	0.7	2.7	3.8
EBITDA margin	6.5	7.5	15.8	21.0
Operating profit margin	0.4	-0.1	7.8	12.6
EBITDA/net interest (x)	1.1	1.6	3.3	4.2
Net debt/equity	53.8	74.9	86.0	90.8
Net debt/EBITDA (x)	21.0	20.9	10.1	7.6
CF from operations/net debt	20.2	4.9	10.5	13.8
Per share data (CNY)				
EPS reported (diluted)	-1.03	0.11	1.00	1.30
HSBC EPS (diluted)	-1.03	0.11	1.00	1.30
DPS	0.15	0.00	0.10	0.13
Book value	20.84	20.80	21.80	23.00

Valuation data: 1772 HK

Year to	12/2024a	12/2025e	12/2026e	12/2027e
EV/sales	7.1	6.4	5.7	5.2
EV/EBITDA	109.1	84.4	35.9	24.9
EV/IC	2.4	2.2	2.1	1.9
PE*	nm	397.6	44.0	33.6
PB	2.1	2.1	2.0	1.9
FCF yield (%)	-2.8	-6.7	-4.5	-2.8
Dividend yield (%)	0.3	0.0	0.2	0.3

* Based on HSBC EPS (diluted)

Valuation data: 002460 CH

Year to	12/2024a	12/2025e	12/2026e	12/2027e
EV/sales	6.7	6.0	5.4	5.0
EV/EBITDA	102.8	79.8	34.0	23.7
EV/IC	2.3	2.1	1.9	1.8
PE*	nm	531.7	58.8	45.0
PB	2.8	2.8	2.7	2.5
FCF yield (%)	-2.9	-7.2	-4.8	-3.0
Dividend yield (%)	0.3	0.0	0.2	0.2

* Based on HSBC EPS (diluted)

ESG metrics

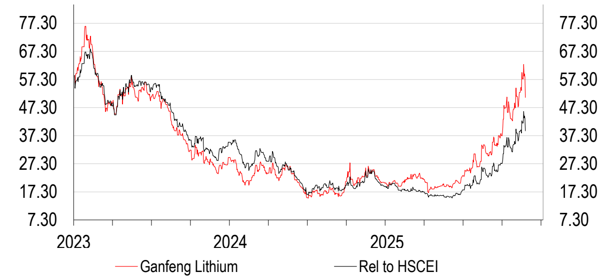
Environmental Indicators	12/2024a
GHG emission intensity*	496.7
Energy intensity*	1,149.2
CO_2 reduction policy	Yes
Social Indicators	**12/2024a**
Employee costs as % of revenues	n/a
Employee turnover (%)	n/a
Diversity policy	Yes

Governance Indicators	12/2024a
No. of board members	10
Average board tenure (years)	7.0
Female board members (%)	40
Board members independence (%)	40

Source: Company data, HSBC

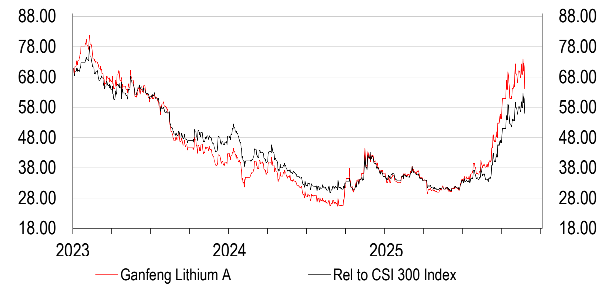
* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Price relative: 1772 HK



Source: HSBC

Price relative: 002460 CH



Source: HSBC
Note: Priced at close of 24 Nov 2025

Ganfeng – H/A (1772 HK / 002460 CH)

Estimate changes

After incorporating the latest lithium price forecasts and demand outlook, we now forecast a net income of RMB221m in 2025 and increase our earnings estimates by 184%/1% for 2026/27e.

Exhibit 1: Ganfeng Lithium – changes to our estimates and comparison with consensus

	New			Old			Difference			Consensus			Difference		
RMBbn	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e
Sales	22,377	26,314	29,510	19,392	21,707	25,342	15%	21%	16%	20,605	26,636	32,039	9%	-1%	-8%
Gross profit	2,390	4,467	6,129	3,106	4,394	6,680	-23%	2%	-8%	2,825	4,922	6,456	-15%	-9%	-5%
GM (%)	11%	17%	21%	16%	20%	0	-5.3ppt	-3.3ppt	-5.6ppt	14%	18%	20%	-3.0ppt	-1.5ppt	0.6ppt
Operating income	-30	2,047	3,709	986	2,274	4,560	-103%	-10%	-19%	1,047	2,681	4,179	-103%	-24%	-11%
Profit before tax	-245	2,025	3,478	-275	744	2,728	N/A	172%	27%	460	2,374	3,993	-153%	-15%	-13%
Net income	221	1,998	2,616	-198	703	2,578	N/A	184%	1%	467	2,031	3,341	-53%	-2%	-22%
EPS (RMB)	0.11	1.00	1.30	-0.10	0.35	1.29	N/A	184%	1%	0.20	0.96	1.62	-45%	4%	-19%

Source: Bloomberg consensus, HSBC estimates

Valuation and risks – Ganfeng

We maintain Buy ratings on Ganfeng H/A-shares and increase our target prices.

For Ganfeng H-shares, we increase our target price goes to HKD54.0 (from HKD33.4). Our target P/B of 2.25x (previously 1.45x) is 0.25 SD below the stock's historical average since 2019. We apply the multiple to our 2026e BVPS of RMB21.80 (previously RMB20.95), derived using our FX team's end-2025e RMB-HKD forecast of 1.11 (previously 1.10). Our new target price implies 12.5% upside. We keep our Buy rating because we see potential upside to lithium price amid the strong EV+ESS demand and lingering supply disruption.

We increase our target price for Ganfeng A-shares to RMB65.0 (from RMB41.9). Our revised target price is derived by applying a new target forward P/B of 3.0x (previously 2.0x) to our 2026e BVPS of RMB21.80 (previously RMB20.95). Our target P/B of 3.0x is also 0.25 SD below the stock's historical average since 2019. Our new target price implies 10.8% upside. We keep our Buy rating, seeing potential lithium price upside amid the strong EV+ESS demand and lingering supply disruption.

Downside risks: 1) Longer-than-expected ramp-up time of its upstream projects, lithium chemical plants, and battery plants; 2) trade tension between China and Australia could impact spodumene imports; 3) lower-than-expected demand growth from EV and ESS; and 4) lower-than-expected investment income amid lower lithium price.

Valuation and risks – Tianqi

We maintain Hold rating on Tianqi-H/A as we believe both H and A-shares are now fairly valued, and expect some short-term pressure on the stock. We maintain our target price for the Tianqi H shares at HKD49.00 (unchanged). Our target PB of 1.45x (unchanged) is 1 SD above the stock's historical average since its listing in 2022 (unchanged) and the same as what we use to value Ganfeng-H. We do not apply an A-H premium, in line with other companies within our coverage, resulting in the same PB multiples of 1.45x for both A/H-shares. We apply the multiple to our 2026e BVPS of RMB30.71 (unchanged) to derive our H-share target price, using our FX team's end-2025e RMB-HKD rate of 1.11. Our H-share target price implies c7% upside from the current share price. Our Tianqi A-share TP remains RMB45.00, implying c13% downside and we have Hold rating, as we expect short-term pressure but maintain a positive view on the sector given lithium price support and strong downstream demand from EV and ESS.

Upside risks: 1) New supply disruption in Yichun, Jiangxi province; 2) lithium price upside risk amid new development of the "anti-involution" campaign; 3) stronger-than-expected demand growth from EV and ESS; 4) positive news of US Department of Energy taking stakes in lithium projects.

Downside risks: 1) Trade tensions between China and Australia could impact self-produced spodumene imports; 2) delays in lithium compound capacity expansion; 3) lower-than-expected demand growth from EV and ESS; and 4) potential impairment loss from investment on SQM.

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Howard Lau, CFA and Chris Chan

Important disclosures

Equities: Stock ratings and basis for financial analysis

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From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

Rating distribution for long-term investment opportunities

As of 30 September 2025, the distribution of all independent ratings published by HSBC is as follows:

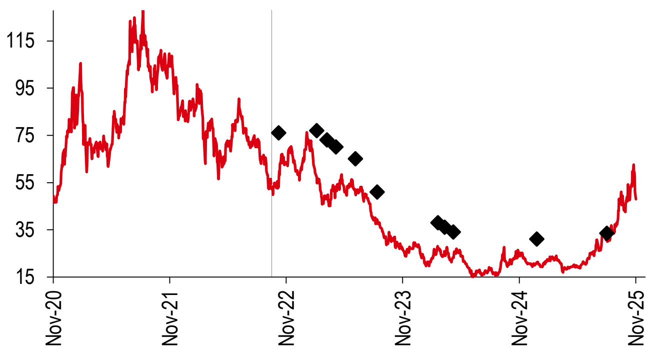
Buy	55%	(13% of these provided with Investment Banking Services in the past 12 months)
Hold	38%	(10% of these provided with Investment Banking Services in the past 12 months)
Sell	7%	(6% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at *http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures*.

Share price and rating changes for long-term investment opportunities

Ganfeng Lithium (1772.HK) share price performance HKD Vs HSBC rating history



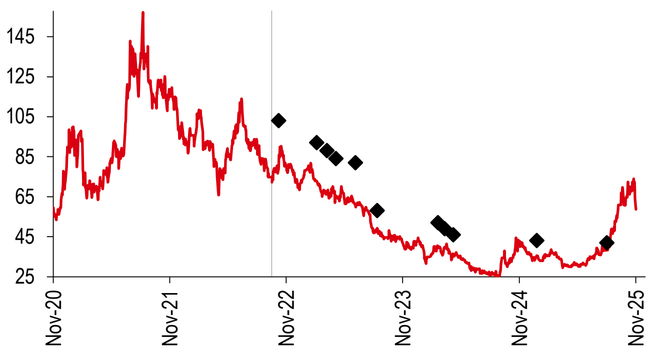
Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	09 Oct 2022	Howard Lau, CFA
Target price	**Value**	**Date**	**Analyst**
Price 1	76.00	31 Oct 2022	Howard Lau, CFA
Price 2	77.00	27 Feb 2023	Howard Lau, CFA
Price 3	73.00	31 Mar 2023	Howard Lau, CFA
Price 4	70.00	28 Apr 2023	Howard Lau, CFA
Price 5	65.00	28 Jun 2023	Howard Lau, CFA
Price 6	51.00	05 Sep 2023	Howard Lau, CFA
Price 7	38.00	13 Mar 2024	Howard Lau, CFA
Price 8	36.00	03 Apr 2024	Howard Lau, CFA
Price 9	34.00	30 Apr 2024	Howard Lau, CFA
Price 10	31.00	17 Jan 2025	Howard Lau, CFA
Price 11	33.40	25 Aug 2025	Howard Lau, CFA

Source: HSBC

Ganfeng Lithium A (002460.SZ) share price performance CNY Vs HSBC rating history



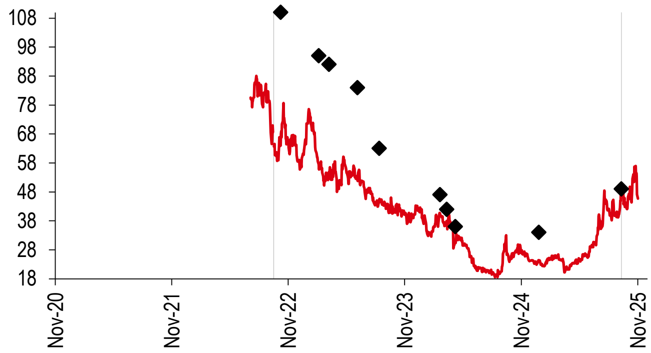
Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	09 Oct 2022	Howard Lau, CFA
Target price	**Value**	**Date**	**Analyst**
Price 1	103.00	31 Oct 2022	Howard Lau, CFA
Price 2	92.00	27 Feb 2023	Howard Lau, CFA
Price 3	88.00	31 Mar 2023	Howard Lau, CFA
Price 4	84.00	28 Apr 2023	Howard Lau, CFA
Price 5	82.00	28 Jun 2023	Howard Lau, CFA
Price 6	58.00	05 Sep 2023	Howard Lau, CFA
Price 7	52.00	13 Mar 2024	Howard Lau, CFA
Price 8	49.00	03 Apr 2024	Howard Lau, CFA
Price 9	46.00	30 Apr 2024	Howard Lau, CFA
Price 10	43.00	17 Jan 2025	Howard Lau, CFA
Price 11	41.90	25 Aug 2025	Howard Lau, CFA

Source: HSBC

Tianqi Lithium (9696.HK) share price performance HKD Vs HSBC rating history



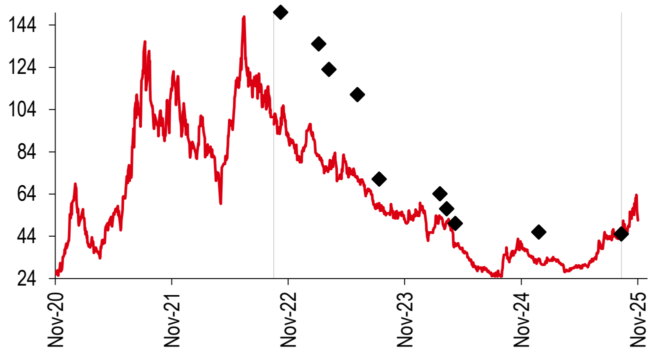
Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	09 Oct 2022	Howard Lau, CFA
Buy	Hold	03 Oct 2025	Howard Lau, CFA
Target price	**Value**	**Date**	**Analyst**
Price 1	110.00	31 Oct 2022	Howard Lau, CFA
Price 2	95.00	27 Feb 2023	Howard Lau, CFA
Price 3	92.00	31 Mar 2023	Howard Lau, CFA
Price 4	84.00	28 Jun 2023	Howard Lau, CFA
Price 5	63.00	05 Sep 2023	Howard Lau, CFA
Price 6	47.00	13 Mar 2024	Howard Lau, CFA
Price 7	42.00	03 Apr 2024	Howard Lau, CFA
Price 8	36.00	30 Apr 2024	Howard Lau, CFA
Price 9	34.00	17 Jan 2025	Howard Lau, CFA
Price 10	49.00	03 Oct 2025	Howard Lau, CFA

Source: HSBC

Tianqi Lithium A (002466.SZ) share price performance CNY Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	09 Oct 2022	Howard Lau, CFA
Buy	Hold	03 Oct 2025	Howard Lau, CFA
Target price	**Value**	**Date**	**Analyst**
Price 1	150.00	31 Oct 2022	Howard Lau, CFA
Price 2	135.00	27 Feb 2023	Howard Lau, CFA
Price 3	123.00	31 Mar 2023	Howard Lau, CFA
Price 4	111.00	28 Jun 2023	Howard Lau, CFA
Price 5	71.00	05 Sep 2023	Howard Lau, CFA
Price 6	64.00	13 Mar 2024	Howard Lau, CFA
Price 7	57.00	03 Apr 2024	Howard Lau, CFA
Price 8	50.00	30 Apr 2024	Howard Lau, CFA
Price 9	46.00	17 Jan 2025	Howard Lau, CFA
Price 10	45.00	03 Oct 2025	Howard Lau, CFA

Source: HSBC

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

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All other clients: *www.research.hsbc.com/A/Disclosures*

HSBC & Analyst disclosures

Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
GANFENG LITHIUM	1772.HK	48.02	24 Nov 2025	6, 7, 11
GANFENG LITHIUM A	002460.SZ	58.65	24 Nov 2025	6, 7, 11
TIANQI LITHIUM	9696.HK	45.76	24 Nov 2025	7
TIANQI LITHIUM A	002466.SZ	51.59	24 Nov 2025	7

Source: HSBC

1 HSBC has managed or co-managed a public offering of securities for this company within the past 12 months.
2 HSBC expects to receive or intends to seek compensation for investment banking services from this company in the next 3 months.
3 At the time of publication of this report, HSBC Securities (USA) Inc. is a Market Maker in securities issued by this company.
4 As of 31 October 2025, HSBC beneficially owned 1% or more of a class of common equity securities of this company.

5 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of investment banking services.

6 As of 30 September 2025, this company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-investment banking securities-related services.

7 As of 30 September 2025, this company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-securities services.

8 A covering analyst/s has received compensation from this company in the past 12 months.

9 A covering analyst/s or a member of his/her household has a financial interest in the securities of this company, as detailed below.

10 A covering analyst/s or a member of his/her household is an officer, director or supervisory board member of this company, as detailed below.

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